

26SMCV01889 26SMCV01889

County: los-angeles

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Case Number: 26SMCV01889 Hearing Date: July 27, 2026 Dept: 207

TENTATIVE RULING – NO. 1

DEPARTMENT

207

HEARING DATE

July 27, 2026

CASE NUMBER

26SMCV01889

MOTION

Post Undertaking & Stay

MOVING PARTIES

Defendants Dean Nucich and Urban Offerings, Inc.

OPPOSING PARTY

Plaintiff Forme Development, Inc.

MOTION

This case arises from a dispute concerning an unpaid debt.

On April 6, 2026, Plaintiff Forme Development, Inc. ("Plaintiff") filed suit against Defendants Dean Nucich ("Nucich") and Urban Offerings, Inc. ("Urban") (together, "Defendants") alleging three causes of action for (1) breach of written contract; (2) common count: money had and received; and (3) unjust enrichment.

Defendants now move for an order requiring Plaintiff to post an undertaking and staying the proceedings until such undertaking is posted, pursuant to Code of Civil Procedure section 1030. Plaintiff opposes the motion and Defendants reply.[1]

REQUEST FOR JUDICIAL NOTICE

Defendants request judicial notice
of the following:

.
Exhibit A Complaint filed on June 8, 2023, in
the matter of Urban Offerings, Inc. v. Damon Chan, et al., Los Angeles Superior
Court, Case No. 23SMCV02623;

.
Exhibit B: Declaration of Daniel J. Taylor Esq.,
in Support of Motion to be Relieved as Counsel , filed on February 10, 2025 in
the matter of Urban Offerings, Inc. v. Damon Chan, et al., Los Angeles Superior
Court, Case No. 23SMCV02623;

.
Exhibit C: Notice of Ruling on Plaintiff's
Motion to Deem Requests for Admission Admitted, filed on May 9, 2025 in the
matter of Urban Offerings, Inc. v. Damon Chan, et al., Los Angeles Superior
Court, Case No. 23SMCV02623;

.
Exhibit D: Notice of Ruling on Plaintiff's
Motions to Compel Discovery Responses, filed on April 29, 2025, in the matter
of Urban Offerings, Inc. v. Damon Chan, et al., Los Angeles Superior Court,

Case No. 23SMCV02623;

·

Exhibit E: Notice of Appearance on Behalf of
Defendants Damon Chan, Forme Development, Inc., and Forme Projects Inc., filed
on May 22, 2025 in the matter of Urban Offerings, Inc. v. Damon Chan, et al.,
Los Angeles Superior Court, Case No. 23SMCV02623;

Judicial notice may be taken
of records of any court in this state.

(Evid. Code, § 452, subd. (d)(1).)

Because the above documents are all court records in this state, the
Court may take judicial notice of them. However,
“while courts are free to take judicial notice of the existence of each
document in a court file, including the truth of results reached, they may not
take judicial notice of the truth of hearsay statements in decisions and court
files. Courts may not take judicial
notice of allegations in affidavits, declarations and probation reports in
court records because such matters are reasonably subject to dispute and
therefore require formal proof.” (Lockley
v. Law Office of Cantrell, Green, Pekich, Cruz & McCort (2001) 91
Cal.App.4th 875, 882 [cleaned up].)

Accordingly, the Court takes
judicial notice of the existence, filing, and legal consequences of the above
court records, but not the truth of the allegations or other hearsay statements
contained therein.

EVIDENTIARY OBJECTIONS

The
Court rules as follows with respect to Plaintiff’s evidentiary objections:

- ¶ 4: sustained
- ¶ 5: overruled to the extent
it describes Defendants’ intent; sustained to the extent it describes
Plaintiff’s intent
- Exhibit 2: overruled

· ¶ 6: overruled

· ¶ 7: overruled to the extent it describes

Defendants' intent; sustained to the extent it describes Plaintiff's intent

· Exhibit 3: overruled

· ¶ 8: overruled

ANALYSIS

1.

UNDERTAKING

"When the plaintiff in an action or special proceeding resides out of the state, or is a foreign corporation, the defendant may at any time apply to the court by noticed motion for an order requiring the plaintiff to file an undertaking." (Code Civ. Proc., § 1030, subd. (a).) The plaintiff is not required to file an undertaking unless "there is a reasonable possibility that the moving defendant will obtain judgment in the action or special proceeding." (Code Civ. Proc., § 1030, subd. (b).) The defendant is not required to show that there is no possibility that the plaintiff can prevail at trial, but rather must demonstrate only that it is reasonably possible that the defendant will prevail. (Baltayan v. Estate of Getemyan (2001) 90 Cal.App.4th 1427, 1432-1433.) The defendant must also submit an affidavit stating the nature and amount of costs and attorney's fees the defendant has incurred, and expects to incur throughout the remainder of the proceedings. (Code Civ. Proc., § 1030, subd. (b).)

"If the court, after hearing, determines that the grounds for the motion have been established, the court shall order that the plaintiff file the undertaking in an amount specified in the court's order as security for costs and attorney's fees." (Code Civ. Proc., § 1030, subd. (c).) If the court grants the motion and the plaintiff fails to file the undertaking within the time allowed, the court must dismiss the plaintiff's action or special proceeding as to the defendant in whose favor the order requiring the undertaking was made. (Code Civ. Proc., § 1030, subd. (d).)

Defendants move for an order

requiring Plaintiff to post an undertaking in the amount of \$493,524 and to stay the proceedings until Plaintiff posts the undertaking, on the grounds that Plaintiff is a British Columbia corporation that has never been registered to do business in the State of California and that the action is frivolous.

a.

Foreign Corporation

The Court notes that Plaintiff filed suit as “a British Columbia corporation” and alleges “FORME DEVELOPMENT, INC. (“FDI”), f.k.a. Via Vista Investment & Consulting Ltd., is and at all times relevant herein was, a corporation incorporated under the laws of the Province of British Columbia, Canada.” (Complaint ¶ 3.)

Further, Defendants advance the deposition testimony of Damon Chan, Plaintiff’s principal, taken in another case, wherein Chan indicates that Plaintiff has never been registered to do business in the State of California and is “mostly a holding company[.]” (Ex. 1 to Bertzyk Decl. at pp. 20:15-16; 21:21-22:3.)

Plaintiff does not deny in opposition that it is a foreign corporation. Rather, Plaintiff argues that Defendants cannot demonstrate a reasonable possibility of prevailing at trial and that the undertaking requested is excessive.

b.

Reasonable Possibility of Prevailing at Trial

According to Plaintiff’s Complaint, Plaintiff loaned Defendants \$200,000 on or about May 9, 2016, with interest to accrue on the first day of each month at a rate of 10% annually, as evidenced by a promissory note executed the same day. (Complaint ¶¶ 11, 14 and Ex. A.) No payments were made on the loan. (Complaint ¶ 19.) As such, on June 12, 2025, Plaintiff sent a written demand for repayment of the principal and accrued interest. (Complaint ¶ 20 and Ex. B.) After the demand’s 180-day period expired without payment, Plaintiff instituted the instant lawsuit. (Complaint ¶ 21.)

According to Defendants, Nucich, as the principal of Urban, and Chan, Plaintiff's principal, were longtime friends working together on real estate projects.

Plaintiff made what was intended to be a \$200,000 investment in 2016, that was memorialized by a promissory note as a placeholder "while Forme took the necessary steps to make an equity investment."

In other words, Defendants contend that the \$200,000 was actually either intended to be an equity investment and/or was subsequently rolled into an investment in a property located at 755 South Los Angeles Street, in which Urban itself contributed \$300,000, and which ultimately did not pan out.

Further, Defendants argue that Plaintiff cannot maintain the instant action, premised upon intrastate business it conducted in California without a certificate of qualification.

Even further, Nucich argues that the Complaint is frivolous as to him, as the loan was made to Urban, and Nucich signed the promissory note only in his capacity as principal of Urban, not in his individual capacity.

In support of Defendants' first argument, Defendants advance the Rights Distribution Agreement for the 755 S. Los Angeles property, indicating that Plaintiff (then Via Vista Investment) contributed \$200,000 and Urban contributed \$500,000, with Plaintiff's pro rata share of Urban's investment being 40%. (Ex. 2 to Nucich Decl.) The Court notes that \$200,000 divided by \$500,000 is 40%.

Defendants also advance a December 16, 2026 email from Nucich to Chan that "the other \$200k is rolling into the deal" for 755 South Los Angeles Street. (Ex. 3 to Nucich Decl.)

In opposition, Plaintiff concedes that there is "a genuine dispute of facts" as to whether a valid promissory note exists, or whether it was a placeholder to memorialize an equity investment that was later rolled into the 755 South Los Angeles Street deal. Thus, in light of this "genuine dispute of facts," there is at least a reasonable possibility that Defendants will prevail.

That possibility is only bolstered by Defendants' contentions that Plaintiff may not be able to maintain the instant lawsuit at all, in light of the fact that Plaintiff apparently conducted real estate transactions regarding real property in California

Further, that possibility is even stronger for Nucich, who signed the promissory note only in his capacity as an agent for Urban, and not in his individual capacity.

Therefore, Defendants have established a reasonable possibility of success at trial sufficient to warrant requiring Plaintiff to post an undertaking.

c.

Amount of Undertaking

In support of the requested undertaking, Defendants advance the attorney Declaration of Scott D. Bertzyk, which provides as follows:

3. This case will be litigated by Paralegal Marian Mackey, Associate Andrea Carmona, and me. As an accommodation to our clients, we have agreed to work at substantially discounted rates, as follows: (i) Ms. Mackey -- \$508/hour; (ii) Ms. Carmona -- \$769/hour; and (iii) me -- \$1,000/hour. Our customary rates are, respectively, \$635, \$965, and \$1,825 per hour. I am well aware of case law providing that, where a litigant is entitled to recover attorneys' fees, the lodestar is measured by prevailing market rates in the community for professionals of similar experience and competence. Thus, our customary rates are relevant, too.

4. To litigate

this action through a Motion for Summary Judgment, I anticipate spending approximately 72 hours and incurring \$72,000 in discounted fees. I anticipate Ms. Carmona will spend approximately 200 hours and incur approximately \$153,800 in discounted fees. I anticipate Ms. Mackey will spend approximately 26.5 hours and incur approximately \$13,462 in discounted fees [...]

5. This means

Defendants will spend at least \$239,262 litigating this matter through summary

judgment. This is a conservative estimate as it anticipates no discovery disputes or additional motion practice. Further, the fees incurred could be much higher given that plaintiff and much of the evidence reside in Canada. Using counsel's customary rates, the estimated fees would be \$339,427.

6. If this case proceeds to trial, the fees incurred will at least double, for a total in fees of \$478,524

7. In addition to fees, Defendants will incur at least \$15,000 in costs, including: \$435 first appearance fee; \$240 in motion fees for filing this motion, the demurrer, and motion for summary judgment; \$9,000 for deposition costs, including court reporter fees and copies of transcripts; and at least \$5,000 for mediation.

8. Because of this, Defendants respectfully request a bond in the amount of \$493,524, which reflects, at a minimum, how much Defendants will incur to litigate this action to trial.

(Bertzyk Decl. ¶¶ 3-8 [chart omitted].)

Plaintiff

argues in opposition that the amount requested is "grossly excessive and highly speculative." Further, Plaintiff argues that the request to double the fees anticipated through summary judgment, in the event the case goes to trial is unreasonable because "there is no basis that a three-to-five day jury trial is inevitable."

The

exercise of estimating fees that will be incurred over the course of the litigation is inherently speculative.

Notwithstanding, Defendants have advanced an attorney declaration, signed under penalty of perjury, that specifies the individuals who will be working on the case, their rates, and the anticipated hours to be expended on specific activities over the course of the litigation. And while a jury trial is not inevitable, the undertaking is meant to secure Defendants' costs reasonably incurred in defending the lawsuit, in the event Defendants are ultimately successful. To the extent Defendants succeed short of trial, the balance will be refunded to Plaintiff. But to the extent the case goes all the way through trial, the undertaking will be there to secure Defendants' potential

interests.

As such, the Court finds Defendants have adequately substantiated the requested costs and attorneys' fees, which the Court notes are recoupable pursuant to the terms of the promissory note, attached as Exhibit A to the Complaint.

d.

Stay

If

the defendant's motion for an order requiring an undertaking is filed not later than 30 days after service of summons on the defendant, further proceedings may be stayed in the discretion of the court upon application to the court by the defendant by noticed motion for the stay until 10 days after the motion for the undertaking is denied or, if granted, until 10 days after the required undertaking has been filed and the defendant has been served with a copy of the undertaking. The hearing on the application for the stay shall be held not later than 60 days after service of the summons. If the defendant files a motion for an order requiring an undertaking, which is granted but the defendant objects to the undertaking, the court may in its discretion stay the proceedings not longer than 10 days after a sufficient undertaking has been filed and the defendant has been served with a copy of the undertaking.

(Code Civ. Proc., § 1030, subd. (e) [emphasis added].)

Here, Plaintiff served Defendants with the summons and complaint by mailing a notice and acknowledgment and receipt on April 9, 2026, and Defendants filed the instant motion on June 1, 2026.

Service by notice and acknowledgment of receipt is deemed complete on the date the written acknowledgment of receipt of summons is executed. Here, Defendants signed the acknowledgment of receipt on April 29, 2026. Thus, thirty days after service was Friday, May 29, 2026, which was not a holiday, yet Defendants did not file the instant motion until three days later, on Monday, June 1.

Thus, the Court finds Defendants' request for a stay is untimely.

CONCLUSION AND ORDER

For the reasons stated, the Court grants in part Defendants' motion for an order requiring Plaintiff to post an undertaking and orders Plaintiff to post an undertaking in the requested amount of \$493,524.00 on or before August 31, 2026.

Further, the Court denies Defendants' request for a stay.

Further, the Court will enter the proposed Order lodged on June 1, 2026 in conformity with the ruling.

Defendants shall provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: July 27, 2026 _____/s/_____

Michael
E. Whitaker

Judge
of the Superior Court

[1] The Court does not generally consider reply evidence, as it deprives the opposing party of notice and a fair opportunity to respond. (See *San Diego Watercrafts, Inc. v. Wells Fargo Bank, N.A.* (2002) 102 Cal.App.4th 308, 316 ["due process requires a party be fully advised of the issues to be addressed and be given adequate notice of what facts it must rebut in order to prevail"]; see also *Wall Street Network Ltd. v. New York Times Co.* (2008) 164 Cal.App.4th 1171.) Therefore, the Court does not consider the Reply Declaration of Andrea Carmona or exhibits attached thereto.

TENTATIVE RULING – NO. 2

DEPARTMENT

HEARING DATE

July 27, 2026

CASE NUMBER

26SMCV01889

MOTION

Demurrer

MOVING PARTIES

Defendants Dean Nucich and Urban Offerings, Inc.

OPPOSING PARTY

Plaintiff Forme Development

MOTION

This case arises from a dispute concerning an unpaid debt.

On April 6, 2026, Plaintiff Forme Development, Inc. ("Plaintiff") filed suit against Defendants Dean Nucich ("Nucich") and Urban Offerings, Inc. ("Urban") (together, "Defendants") alleging three causes of action for (1) breach of written contract; (2) common count: money had and received; and (3) unjust enrichment.

Defendants now demur to the Complaint for failure to state facts sufficient to constitute a cause of action, pursuant to Code of Civil Procedure section 430.10, subdivision (e). Plaintiff opposes the demurrer and Defendants reply.

ANALYSIS

1.

DEMURRER

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In testing the sufficiency of a cause of action, a court accepts "[a]s true all material facts properly pled and matters which may be judicially noticed but disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (290 Division (EAT), LLC v. City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280 ["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a demurrer, a court must "liberally construe" the allegations of the complaint "with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

In summary, "[d]etermining whether the complaint is sufficient as against the demurrer on the ground that it does not state facts sufficient to constitute a cause of action, the rule is that if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

FAILURE TO STATE A CAUSE OF ACTION

i.

Statute of
Limitations

Defendants argue that Plaintiff's claims are all barred by the applicable statute of limitations.

The statute of limitations for a promissory note is six years from the date of breach. (Com. Code, § 3118, subd. (a).) For loans payable on demand, the statute of limitations is six years from the demand. (Id. at subd. (b).) "If no demand for payment is made to the maker, an action to enforce the note is barred if neither principal nor interest on the note has been paid for a continuous period of 10 years." (Ibid.)

As alleged in the Complaint, Plaintiff made the \$200,000 loan in question to Urban on or about May 9, 2016 (Complaint ¶¶ 11, 14 and Ex. A). The demand was made just over nine years later, on June 12, 2025. (Complaint ¶¶ 20 and Ex. B.) The Complaint was filed on April 6, 2026, less than ten years from the initial loan.

Defendants argue that the demand must also be made within a reasonable time after it can be lawfully made, but only cite to *Huynh v. Chase Manhattan Bank* (9th Cir. 2006) 465 F.3d 992, in which the Ninth Circuit held that New York's, not California's, statute of limitations applied to the underlying case. Although *Huynh* cites to *Stafford v. Oil Tool Corp.* (1955) 133 Cal.App.2d 763, 765-766, *Stafford* involved an oral contract and was decided before the current version of Commercial Code section 3118 was enacted.

Thus, under the plain language of the statute, Plaintiff's Complaint is timely as alleged.

ii.

Conclusory Alter
Ego Allegations

The elements to establish alter ego liability are (1) such a unity of interest and ownership between the corporation and individual that no separation actually exists, and (2) an inequitable result if the acts in question are treated as those of the corporation alone. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 417.) Here, Plaintiff alleges:

6. FDI is informed and believes, and thereon alleges, that there is such unity of interest and ownership between Nucich and Urban Offerings that, under the facts and circumstances alleged herein, adherence to the fiction of the separate existence of Urban Offerings would sanction fraud or promote injustice. In short, FDI is informed and believes, and thereon alleges, that Urban Offerings is the alter ego of Nucich. FDI is informed and believes, and thereon alleges, that there is such a unity of interest and ownership between Nucich and Urban Offerings that Urban Offerings is a mere instrumentality, agency, conduit, or adjunct of Nucich and an inequity could and would result if Urban Offerings was treated as an entity separate from Nucich.

(Complaint

¶ 6.) Thus, the Complaint sufficiently alleges

“ultimate facts” of both a unity of interest and an inequitable result.[1]

Defendants argue this is too

conclusory to withstand demurrer. In

support, they cite to *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415. There, the appellate court found the

allegations insufficient to allege alter ego liability because the Complaint

“neither specifically alleged alter ego liability, nor alleged facts showing a

unity of interest and inequitable result from treatment of the corporation as

the sole actor.” (Ibid.) Instead, it merely alleged that the

individual defendant is the sole owner of the entity, “owning all of its stock

and making all of its business decisions personally.” (Ibid.) But merely alleging “that a person owns all

of the corporate stock and makes all of the management decisions is

insufficient to cause the court to disregard the corporate entity.” (Ibid., citing *Meadows v. Ematt*

& Chandler (1950) 99 Cal.App.2d 496, 499.)

Leek did not establish a

heightened pleading requirement to allege alter ego liability.

Defendants also cite to *Stansfield*

v. Starkey (1990) 220 Cal.App.3d 59, 74, where the Court of Appeal similarly

held that allegations that the individual defendant “currently controls and

totally dominates all Church of Scientology monies, assets and property

throughout the world” was insufficient to allege a unity of interest and a

resultant injustice to allege an alter ego theory.

Finally, Defendants cite to *Byrne*

v. Harvey (1962) 211 Cal.App.2d 92, where the Court of Appeal sustained an

individual defendant's demurrer on the grounds that he had signed the instrument only in his capacity as administrator for an estate, but not in his personal capacity. But Byrne just stands for the general propositions that an agent signing an instrument on behalf of another does not bind that agent in their individual capacity and the court need not give weight to conclusory allegations that the individual signed the agreement where the written instrument upon which that allegation is based demonstrates that the signature was made in a representative capacity. Byrne did not involve any alter ego analysis.

Thus, the Court declines to sustain the demur to Plaintiff's alter ego liability allegations.

iii.

Second Cause
of Action – Money Had and Received

The elements for a cause of action for a common count of money had and received are (1) the defendant received money that was intended to be used for the benefit of plaintiff; (2) the money was not used for the benefit of plaintiff; and (3) defendant has not given the money to plaintiff. (CACI No. 370.) Here, Plaintiff alleges:

30. Defendants received \$200,000.00 from FDI that was intended to be a loan and that Defendants were obligated to repay.

31. Defendants have failed to repay FDI any portion of the amount owed on FDI's loan.

(Complaint
¶¶ 30-31.)

Thus, the Complaint does not adequately allege that the \$200,000 Defendants allegedly received was intended to be used for the benefit of Plaintiff.

Plaintiff argues in opposition that a loan, by definition, creates an obligation that the borrower return the money to the lender, and therefore, the loan was provided for Plaintiff's benefit. The Court disagrees. A loan is generally provided for the benefit of the borrower. Although the lender also benefits when the loan is returned

and interest paid thereon, the loan disbursement itself is not paid to the borrower to be used for the benefit of the lender.

Therefore, the Court sustains
Defendants' demurrer to the second cause of action.

iv.

Third Cause
of Action – Unjust Enrichment/Restitution

Defendants demur to the third cause of action for unjust enrichment/restitution on the grounds that California does not recognize any such cause of action. The Court agrees.

[T]here

is no cause of action in California for unjust enrichment. The phrase Unjust Enrichment does not describe a theory of recovery, but an effect: the result of a failure to make restitution under circumstances where it is equitable to do so. Unjust enrichment is a general principle, underlying various legal doctrines and remedies, rather than a remedy itself. It is synonymous with restitution.

(Melchior v. New Line Productions, Inc.

(2003) 106 Cal.App.4th 779, 793 [cleaned up]; accord Jogani v. Superior Court (2008) 165 Cal.App.4th 901, 911 [unjust enrichment is not a cause of action].)

Therefore, the Court sustains Defendants' demurrer to the third cause of action.

v.

Plaintiff's

Inability to Maintain This Action

Corporations Code section 2105, subdivision (a) provides that a foreign corporation shall not transact intrastate business in California without first having obtained a certificate of qualification from the Secretary of State. Further, if a corporation is transacting intrastate business in California without a certificate of qualification, it cannot maintain any action until it has obtained the certificate.

Defendants argue that Plaintiff is not registered to conduct business in the State of California, and therefore cannot properly maintain this action. In particular, Defendants argue that Plaintiff cannot maintain this action because it transacts business in California, “including maintaining an office in Los Angeles, California and developing real estate projects throughout Los Angeles.” However, these facts go beyond the four corners of the pleading and are therefore inappropriate to consider on a demurrer.

Defendants further argue that Defendants entered the promissory note with Urban, a California corporation, signed the note in Los Angeles, California, and the note called for payment “at Los Angeles, California.” Again, whether Plaintiff was actually “transacting intrastate business in California” without a valid certificate or whether they simply made a single loan to a California company are factual questions outside the scope of the demurrer.

Moreover, such minor technical defects impacting a corporation’s capacity to maintain an action is a curable plea in abatement. (See, e.g., *Traub Co. v. Coffee Break Services, Inc.* (1967) 66 Cal.2d 368, 370.) In dealing with such curable pleas in abatement, “the normal practice is for the trial court to permit a short continuance” to enable the corporation to cure the technical defect. (See, e.g., *Timberline, Inc. v. Jaisinghani* (1997) 54 Cal.App.4th 1361, 1362.)

Thus, even if Defendants are ultimately correct that Plaintiff may not properly maintain the instant action until it receives the requisite certificate of qualification from the Secretary of State, the proper remedy would be a short continuance to allow Plaintiff to cure the technical defect, not to sustain a demurrer or dismiss the action.

2.

LEAVE TO AMEND

A

plaintiff has the burden of showing in what manner the complaint could be amended and how the amendment would change the legal effect of the complaint, i.e., state a cause of action. (See *The Inland Oversight Committee v. City of San Bernardino* (2018) 27 Cal.App.5th 771, 779; *PGA West Residential Assn., Inc. v. Hulven Int'l, Inc.* (2017) 14 Cal.App.5th 156, 189.) A plaintiff must not only state the legal basis for the amendment, but also the factual allegations sufficient to state a cause of action or claim. (See *PGA*

West Residential Assn., Inc. v. Hulven Int'l, Inc., supra, 14 Cal.App.5th at p. 189.) Moreover, a plaintiff does not meet his or her burden by merely stating in the opposition to a demurrer or motion to strike that "if the Court finds the operative complaint deficient, plaintiff respectfully requests leave to amend." (See Major Clients Agency v Diemer (1998) 67 Cal.App.4th 1116, 1133; Graham v. Bank of America (2014) 226 Cal.App.4th 594, 618 [asserting an abstract right to amend does not satisfy the burden].)

Here, although Plaintiff requests leave to amend, Plaintiff does not articulate any facts that could be added to cure the deficiencies identified above. Further, because unjust enrichment is not a valid cause of action and because loan disbursements are not generally intended to be used for the benefit of the lender, it is not readily apparent how additional facts could cure the deficiencies identified above.

CONCLUSION AND ORDER

For the reasons stated, the Court overrules Defendants' demurrer to the first cause of action but sustains without leave to amend Defendants' demurrer to the second and third causes of action.

Further, the Court orders Defendants to file and serve an Answer or Answers to Complaint on or before August 10, 2026.

Further, the Court will enter the proposed Order lodged on

Defendants shall also provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: July 27, 2026 ___/s/_____

Michael
E. Whitaker

Judge
of the Superior Court

[1] Ultimate facts are those "constituting the cause of action" or those upon which liability depends, e.g., duty of care, breach of the duty and causation (damages). (See

Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “[T]he term ultimate fact generally refers to a core fact, such as an essential element of a claim. Ultimate facts are distinguished from evidentiary facts and from legal conclusions.” (Central Valley General Hosp. v. Smith (2008) 162 Cal.App.4th 501, 513 [cleaned up]; see also Rodriguez v. Parivar, Inc. (2022) 83 Cal.App.5th 739, 750–751 [“The elements of a cause of action constitute the essential or ultimate facts in a civil case”].)